Conference Call Notes: MENA Crisis Update

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MENA Crisis Update

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Eurasia Group has shifted its base case to U.S.-driven military escalation against Iran following the November midterms (65% probability), with oil prices expected to rise into a $110–$125/barrel band.
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Regional partners — including GCC states — are urging patience, but their counsel is unlikely to hold; Egypt, Turkey, and Pakistan are increasingly drawn into the Yemen theater, which remains a secondary but linked pressure point.
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Yemen conflict’s impact on energy remains limited as the Houthis are refraining from major attacks against Saudi energy for fear that this might change US calculus and spur Trump into action in support of Saudi Arabia. US decision to get directly involved would raise risks to Saudi energy and Red Sea shipping.

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Scenario Update: Escalation Is Now the Base Case

Eurasia Group has raised the probability of U.S. military escalation against Iran to 65%, making it the firm's base case. The prior base case — a continued standoff — has been reduced to 15%. The odds of a deal have been raised modestly, from 10% to 20%, reflecting the unsustainability of the status quo for Washington, not a meaningful shift in Iranian concessions. (For more, please see Hormuz attacks

likely to compel US escalation after midterms , 15 October 2026.)

The trigger for the base case shift is Iran's successful attrition of U.S.-led efforts to restore regional energy flows. Regional exports had briefly recovered to above 18 million barrels per day by late September — essentially pre-war levels — but Iran responded with a sharp escalation in shipping attacks. Over two dozen confirmed hits on ships have occurred since September 28, concentrated in the Strait of Hormuz but extending into the Persian Gulf and Gulf of Oman. Preliminary ship-tracking data (Kpler) now puts regional flows at roughly 14–15 million barrels per day, with Strait of Hormuz flows at approximately 10 million barrels per day. The UK Maritime Trade Operations (UKMTO) has acknowledged that not all attacks are being reported, meaning the actual pace of interdiction is likely higher than public data suggests.

Energy Market Implications

Brent crude spiked 4% on Friday, briefly topping $110/barrel, before retreating to approximately $108 as of the call. We expect prices to move into a $110–$125/barrel band as escalation materializes. The upside risk comes not just from further shipping disruption but from the possibility of Iranian strikes on regional energy infrastructure in retaliation for U.S. strikes.

On middle distillates, some near-term relief is expected from European refinery expansions (including in Poland), U.S. Gulf refinery capacity increases, and Indian shipments. A diesel purchase arrangement with Russia was also flagged as a sign of how far the administration is willing to go to manage domestic fuel prices. These factors may provide modest cover for military action by mid-November.

U.S. Escalation: Timing, Scope, and Constraints

The U.S. is likely to conduct a period of roughly two weeks of expanded airstrike activity, relying on two primary asset classes: long-range bombers launched from the U.S. continental mainland and Indian Ocean bases (not Western Europe, where the U.S. has pulled back presence), and naval aviation. The U.S. has largely moved away from manned aircraft sorties over Iran following the shoot-down of a U.S. F-15, which demonstrated Iranian air defense capabilities exceeding U.S. expectations. Tomahawk and other unmanned standoff weapons have been significantly drawn down.

A key constraint: massive ordnance penetrators (MOPs), the weapons needed to target deeply buried stockpiles and nuclear facilities, are currently in supply measured "in the teens." We are skeptical that the U.S. can fully achieve its stated military objectives — destroying Iran's missile and drone stockpiles, weakening its nuclear program, and forcing concessions — but the administration appears to believe otherwise. Reports of potential MOAB (Massive Ordnance Air Blast) are signaling rather than operational planning; the MOAB is an area clearance weapon, not suited for hardened underground targets.

The midterms are not driving Trump's strategy, but they are shaping timing. Trump appears unconcerned about potential Republican losses. Delaying until mid-November avoids intra-party criticism and allows a third carrier group to overlap with the two already in theater for several weeks of preparation.

Iran's Strategy: Attrition, Not Escalation

Iran's leadership — now operating as a collective following Supreme Leader Khamenei's reduced public presence — has coalesced around an attritional strategy. The goal is to keep energy prices elevated and pressure on Washington without triggering a disproportionate U.S. response or exhausting Iran's own

missile and drone inventories.

Iran's negotiating position remains firm: recognition of Iranian control of the Strait of Hormuz (jointly with Oman), restoration of the June Memorandum of Understanding (MoU), unfreezing of frozen funds, and lifting of the U.S. blockade. The U.S. has pivoted back to demanding nuclear concessions — specifically on Iran's highly enriched uranium stockpile and forward enrichment — which Iran will not negotiate until it receives the June MoU incentives first. Iranian Foreign Minister Abbas Araghchi presented a seven-point proposal on the sidelines of the UN General Assembly (UNGA); the specific demands have not been published. Iran's leadership has effectively discounted the possibility of a durable deal with the Trump administration, pointing to what they view as U.S. violations of the June MoU. Iranian media is already discussing the possibility of re-engaging diplomatically after Trump — i.e., from January 2029.

Yemen: A Related Theater, Limited Near-Term Oil Risk

The Saudi-backed campaign to retake territory lost in the Houthi offensive along Yemen's western coast — including Bab el-Mandeb — is not going well. Initial reports of progress pushing Houthis north from Bab el-Mandeb were described as inflated. The Houthis are now enforcing a blockade around the city of Taiz and continue to contest Saudi-backed positions.

Saudi Arabia's flagship Future Investment Initiative (FII) conference was canceled just before the call — a signal of the pressure on Crown Prince Mohammed bin Salman (MBS). Airports including Riyadh, Dammam, and Jeddah are largely shut.

Critically, the Houthis have deliberately avoided striking Saudi energy infrastructure in a way that would move oil prices significantly or draw direct U.S. intervention (see Houthis likely to avoid market-moving strikes on Saudi oil , 14 October 2026). A reported U.S.-Houthi understanding, allegedly reached in Oman, has kept the U.S. out of the Yemen conflict in exchange for Houthi restraint on non-Saudi shipping through Bab el-Mandeb. This is purposeful Houthi strategy: avoiding actions that would change Trump's calculus on Yemen while adding strain to the MBS-Trump relationship.

The U.S. is providing battlefield intelligence and precision-guided munitions (PGMs) to Saudi forces. Egypt's potential entry — following President Sisi's public offer of military support — would most likely take the form of Egyptian Air Force assets supporting Saudi air defenses, freeing Saudi aircraft for offensive operations. Parliamentary approval in Egypt is expected but not yet secured, and Egypt is historical sensitive to Yemen given its costly intervention under Nasser in the 1960s. Financial compensation from Saudi Arabia or Qatar is assumed to be part of any Egyptian calculus.

Key Watch Items

1.
Strait of Hormuz flow volumes: Whether regional exports stabilize or continue declining toward the 14–15 million barrel per day range is the primary near-term pressure indicator for U.S. escalation timing.
2.
U.S. asset repositioning: Forward-deployed U.S. aircraft at Al Udeid Air Base in Qatar and elsewhere; historically, the U.S. withdraws these to safer locations ahead of escalation.
3.
Third carrier group deployment: Overlap with the two existing carrier groups for a sustained period is a key material precondition for expanded U.S. strikes.

4.
Houthi targeting behavior: Whether the Houthis break their de facto restraint on U.S. or non-Saudi shipping through Bab el-Mandeb is the most likely trigger for direct U.S. involvement in Yemen.
5.
Israeli election outcome: A messy coalition process or repeat elections are possible; watch for whether Netanyahu or a successor government requests or enables Israeli participation in any U.S. escalation against Iran.
6.
Iraqi militia activity: An Iraq-based front against Saudi energy infrastructure — potentially with Iranian Revolutionary Guard Corps (IRGC) involvement using Iraqi territory for plausible deniability — remains a latent risk that has been deliberately held in reserve.

What Clients Are Asking

Iran escalation timing — before or after midterms? Multiple clients asked whether Iran might force the issue before November. We assess Iran is more likely to wait, preferring to let the U.S. escalate first in keeping with its attritional strategy. Any deal extracted by pre-midterm Iranian pressure would have an extremely short lifespan given Trump's track record.

Egypt's role in Yemen: Clients asked whether Egyptian involvement is symbolic or militarily meaningful. Egyptian Air Force assets could meaningfully free up Saudi aircraft for offensive operations, but nothing short of direct U.S. involvement is likely to turn the tide of the current conflict.

U.S. off ramp: Clients asked how this ends. We are skeptical a durable resolution will be reached under the current administration. The more likely pattern is a cycle of temporary escalation and de-escalation, with both sides constrained by resource limits and energy market pressures. A multilateral diplomatic framework — analogous to the Joint Comprehensive Plan of Action (JCPOA) process — would likely require a different U.S. administration, with Iranian media already discussing post-Trump diplomacy starting in January 2029.

GCC regional input into Trump's thinking: Clients asked whether Gulf state counsel against escalation would influence Trump. GCC leaders — MBS, UAE Crown Prince Mohammed bin Zayed (MBZ), Qatar's Emir Tamim — are collectively urging patience, but their advice appears unlikely to hold given the trajectory of U.S. domestic energy prices and the failure of the standoff strategy.

Attendee Poll Results

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